

Ch – 8 Correction of Errors

Practice Questions

- Q1.** Alpha Traders constructed a new office building at a cost of Rs. 800,000. A junior accountant mistakenly capitalized an additional Rs. 25,000 related to the opening ceremony expense. Depreciation at 5% per annum was charged on the total amount of Rs. 825,000. What is the combined impact of these errors on the company's assets and profit for the year?
- (a) Assets overstated by Rs.25,000; Profit overstated by Rs.25,000
- (b) Assets overstated by Rs.23,750; Profit overstated by Rs.23,750**
- (c) Assets overstated by Rs.25,000; Profit overstated by Rs.1,250
- (d) Assets overstated by Rs.23,750; Profit understated by Rs.23,750
- Q2.** Beta Traders purchased land and building for a total cost of Rs. 400,000. The land was valued at Rs. 150,000 and the building at Rs.250,000. Depreciation is charged at 10% per annum on a straight-line basis. A junior accountant mistakenly charged depreciation on the entire Rs. 400,000. How should this error be corrected?
- (a) Debit Depreciation Expense Rs.15,000, Credit Accumulated Depreciation Rs.15,000
- (b) Debit Accumulated Depreciation Rs.25,000, Credit Depreciation Expense Rs.25,000
- (c) Debit Accumulated Depreciation Rs.15,000, Credit Depreciation Expense Rs.15,000**
- (d) Debit Depreciation Expense Rs.40,000, Credit Accumulated Depreciation Rs.40,000
- Q3.** ARQ Traders uses perpetual inventory method. The inventory account is showing a balance of Rs. 986,000. However, it was noted that the adjustment of normal loss of Rs. 6,000 and abnormal loss of Rs. 80,000 due to damage identified during physical inspection has been omitted. Which TWO of the following journal entries are required?
- (a) Debit Inventory Rs. 900,000; Credit Cost of Sales Rs. 900,000
- (b) Debit Cost of sales Rs. 6,000; Credit Inventory Rs. 6,000**
- (c) Debit Abnormal loss Rs. 80,000; Credit Inventory Rs. 80,000**
- (d) Debit Inventory Rs. 900,000 and Debit Abnormal loss Rs. 80,000; Credit Cost of Sales Rs. 980,000
- Q4.** Opening inventory of Rs.31,763 had been entered on the credit side of the trial balance as Rs.31,673. Which side of trial balance will be short and by what amount?
- (a) Credit side by Rs. 63,526
- (b) Debit side by Rs. 63,346
- (c) Credit side by Rs. 63,436
- (d) Debit side by Rs. 63,436**
- Q5.** An increase of Rs.700 in allowance for doubtful debts was required, but the accountant wrongly recorded it as a decrease in allowance. What is the correcting entry to fix this mistake?
- (a) Debit Bad and Doubtful Debts Expense Rs. 1400, Credit Allowance for Doubtful Debts Rs. 1400**
- (b) Debit Allowance for Doubtful Debts Rs. 1400, Credit Bad and Doubtful Debts Expense Rs. 1400
- (c) Debit Bad and Doubtful Debts Expense Rs. 700, Credit Allowance for Doubtful Debts Rs. 700
- (d) Debit Allowance for Doubtful Debts Rs. 700, Credit Bad and Doubtful Debts Expense Rs. 700
- Q6.** A bad debt of Rs.600 previously written off was recovered. The accountant recorded the entry by debiting Cash/Bank and wrongly credited the amount to "Receivables". What is the correct rectification entry?
- (a) Debit Bad and Doubtful Debts Expense Rs.600, Credit Receivables Rs.600
- (b) Debit Receivables Rs.600, Credit Bad and Doubtful Debts Expense Rs.600**
- (c) Debit Bad and Doubtful Debts Expense Rs.600, Credit Cash/Bank Rs.600
- (d) Debit Receivables Rs.600, Credit Cash/Bank Rs.600
- Q7.** Opening allowance for doubtful debts was Rs. 300. Closing receivables are Rs. 10,000. A bad debt of Rs. 1,000 was written off before calculation of the closing allowance, but the accountant missed the written off amount while calculating closing allowance. The allowance is 5% of receivables. What is the impact on profit due to this mistake?
- (a) **Profit is understated by Rs.50**
- (b) Profit is overstated by Rs.50

- (c) Profit is overstated by Rs.1,000 (d) No impact on profit
- Q8.** A bad debt of Rs.500 was written off by debiting "Bad and Doubtful Debts Expense" but wrongly credited to "Payables" instead of "Receivables". What is the impact of this error?
- (a) Net profit is overstated (b) Net profit is understated
- (c) **Liabilities are overstated** (d) Assets are understated
- Q9.** A purchase return amounting to Rs. 500,000 was mistakenly debited to trade receivable account from purchase return journal. What journal entry must be recorded to correct this error?
- (a) DEBIT: Trade receivable Rs. 500,000 and CREDIT: Trade payable Rs. 500,000
- (b) **DEBIT: Trade payable Rs. 500,000 and CREDIT: Trade receivable Rs. 500,000**
- (c) DEBIT: Trade payable Rs. 500,000 and CREDIT: Purchase return Rs. 500,000
- (d) DEBIT: Trade receivable Rs. 500,000 and CREDIT: Purchase return Rs. 500,000
- Q10.** A sale invoice of Rs. 315,000 was posted to sales day book as 351,000 and to trade receivable account as 135,000. What journal entry must be recorded to correct this error?
- (a) DEBIT: Sales Rs. 36,000 and CREDIT: Suspense Rs. 36,000
- (b) DEBIT: Trade receivable Rs. 36,000 and CREDIT: Suspense Rs. 36,000
- (c) **DEBIT: Sales Rs. 36,000 & Trade receivables Rs. 180,000 and CREDIT: Suspense Rs. 216,000**
- (d) DEBIT: Sales Rs. 180,000 & Trade receivables Rs. 36,000 and CREDIT: Suspense Rs. 216,000
- Q11.** While carrying forward the total of the sales book from one page to the next, the amount was written as Rs 176,658 instead of Rs. 167,568. What journal entry must be recorded to correct this error?
- (a) **DEBIT: Sales Rs. 9,090 and CREDIT: Suspense Rs. 9,090**
- (b) DEBIT: Suspense Rs. 9,090 and CREDIT: Sales Rs. 9,090
- (c) DEBIT: Sales Rs. 344,226 and CREDIT: Suspense Rs. 344,226
- (d) DEBIT: Suspense Rs. 344,226 and CREDIT: Sales Rs. 344,226
- Q12.** A purchase of 617 from purchase day book had been posted to the debit of Pakistan Stores, a creditor's account as Rs.671. What journal entry must be recorded to correct this error?
- (a) DEBIT: Pakistan Stores Rs. 671 and CREDIT: Suspense Rs. 671
- (b) DEBIT: Suspense Rs. 617 and CREDIT: Pakistan Stores Rs. 617
- (c) DEBIT: Pakistan Stores Rs. 1,288 and CREDIT: Suspense Rs. 1,288
- (d) **DEBIT: Suspense Rs. 1,288 and CREDIT: Pakistan Stores Rs. 1,288**
- Q13.** The purchase of an office table on credit costing Rs.300 had been passed through the Purchase day Book. What journal entry must be recorded to correct this error?
- (a) DEBIT: Suspense Rs. 300 and CREDIT: Purchases Rs. 300
- (b) DEBIT: Furniture Rs. 300 and CREDIT: Suspense Rs. 300
- (c) **DEBIT: Furniture Rs. 300 and CREDIT: Purchases Rs. 300**
- (d) DEBIT: Purchases Rs. 300 and CREDIT: Furniture Rs. 300
- Q14.** Operating expenses include insurance premium of Rs. 900,000 paid during the year, out of which Rs. 200,000 pertain to owner's residential premises. All insurance policies are valid up to 30 June 2020. What journal entry must be recorded to correct this error at year end of 31 December 2019?
- (a) DEBIT: Prepaid insurance Rs. 900,000 and CREDIT: Operating expenses Rs. 900,000
- (b) DEBIT: Prepaid insurance Rs. 450,000 and CREDIT: Operating expenses Rs. 450,000
- (c) DEBIT: Drawings Rs. 200,000 & Prepaid insurance Rs. 700,000 and CREDIT: Operating expenses Rs. 900,000
- (d) **DEBIT: Drawings Rs. 200,000 & Prepaid insurance Rs. 350,000 and CREDIT: Operating expenses Rs. 550,000**
- Q15.** Year-end physical count sheets include a third-party stock of Rs. 1,320,000. The Entity has already passed the closing stock journal entry. The entity uses periodic stock method. What journal entry must be recorded to correct

this error?

- (a) **DEBIT: Cost of sales Rs. 1,320,000 and CREDIT: Inventory Rs. 1,320,000**
- (b) DEBIT: Inventory Rs. 1,320,000 and CREDIT: Cost of sales Rs. 1,320,000
- (c) DEBIT: Third party stock Rs. 1,320,000 and CREDIT: Purchases Rs. 1,320,000
- (d) No entry is required for this type of third party stock

Q16. A sales invoice of Rs. 24,000 was debited to the debtor's account as Rs. 42,000. What journal entry must be recorded to correct this error?

- (a) **DEBIT: Suspense Rs. 18,000 and CREDIT: Receivables Rs. 18,000**
- (a) DEBIT: Receivables Rs. 18,000 and CREDIT: Suspense Rs. 18,000
- (b) DEBIT: Suspense Rs. 66,000 and CREDIT: Receivables Rs. 66,000
- (c) DEBIT: Receivables Rs. 66,000 and CREDIT: Suspense Rs. 66,000

Q17. The credit side of trial balance was short by Rs. 290,000. Afterwards, following two errors were identified and corrected:

- Payment of office rent expense amounting to Rs. 120,000 was recorded as a credit entry in the cash book and also credited to rent income account.
- A purchase of Rs. 352,000 was entered in the purchase day book as Rs. 325,000 and posted to the creditor's account as Rs. 235,000.

What will be balance of suspense account after the above corrections?

- (a) Rs. 272,000 DEBIT
- (b) Rs. 272,000 CREDIT
- (c) **Rs. 440,000 CREDIT**
- (d) Rs. 440,000 DEBIT

Q18. The draft net profit is Rs. 290,000. Afterwards, following two errors were identified and corrected:

- Payment of office rent expense amounting to Rs. 120,000 was recorded as a credit entry in the cash book and also credited to rent income account.
- A purchase of Rs. 352,000 was entered in the purchase day book as Rs. 325,000 and posted to the creditor's account as Rs. 235,000.

What will be the net profit after the above corrections?

- (a) Net loss Rs. 132,000
- (b) Net profit Rs. 132,000
- (c) Net loss Rs. 23,000
- (d) **Net profit Rs. 23,000**

Q19. A purchase of Rs. 352,000 was entered in the purchase day book as Rs. 325,000 and posted to the creditor's account as Rs. 235,000. What journal entry must be recorded to correct this error?

- (a) DEBIT: Trade payable Rs. 117,000 and CREDIT: Purchases Rs. 90,000 & Suspense Rs. 27,000
- (b) DEBIT: Purchases Rs. 90,000 & Suspense Rs. 27,000 and CREDIT: Trade payable Rs. 117,000
- (c) DEBIT: Trade payable Rs. 117,000 and CREDIT: Purchases Rs. 27,000 & Suspense Rs. 90,000
- (d) **DEBIT: Purchases Rs. 27,000 & Suspense Rs. 90,000 and CREDIT: Trade payable Rs. 117,000**

Q20. Which TWO of the following errors shall not cause the need to create a suspense account?

- (a) Overcasting of sales return daybook
 - (b) **Complete reversal of entries**
 - (c) The balance of motor vehicle account listed on credit side of trial balance
 - (d) **A purchase invoice overlooked and unrecorded**
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